

Guide to Investing in China

Sep 2026

Xiaowen Chen (Xavier)

Lydia Zafeiri

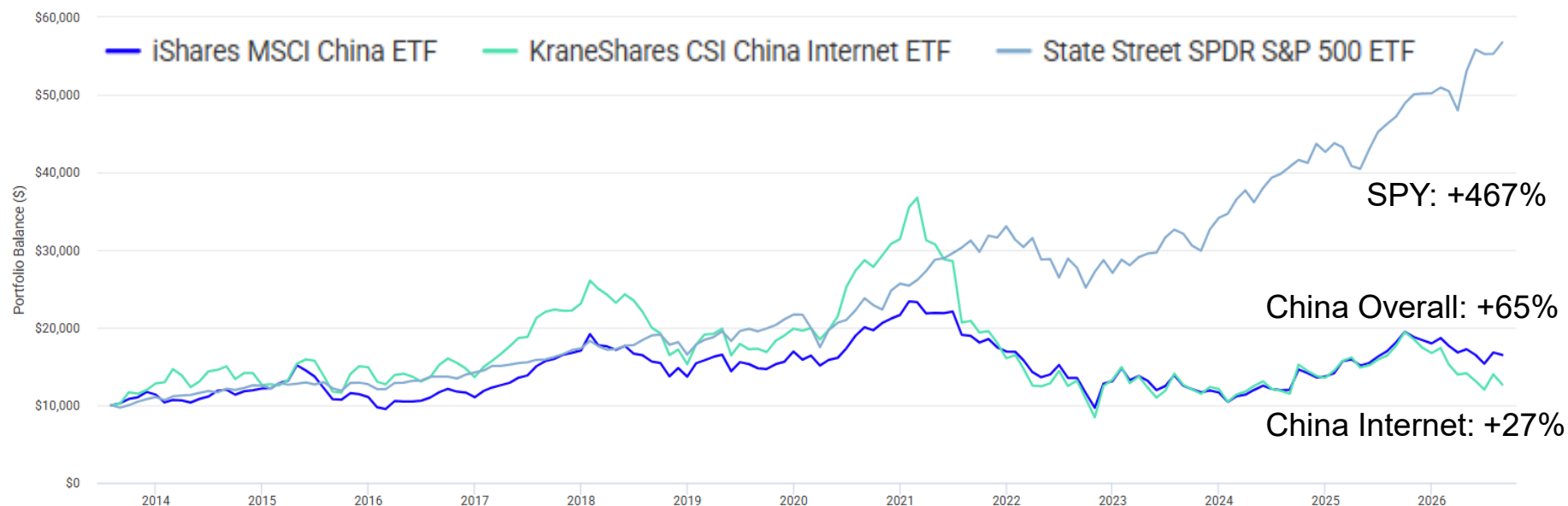
Samuel

Rich

Michael Wansaw

Robert Anzalone

Executive view – Stock performance (MCHI, KWEB) (2013 Aug – 2026 Aug)



Executive view – Stock performance (MCHI, KWEB)

Performance Summary

Metric	iShares MSCI China ETF	KraneShares CSI China Internet ETF	State Street SPDR S&P 500 ETF	
Start Balance	\$10,000	\$10,000	\$10,000	
End Balance	📄 \$16,473	📄 \$12,672	📄 \$56,746	
Annualized Return (CAGR)	📄 3.89%	📄 1.83%	📄 14.19%	
Standard Deviation	23.36%	33.46%	14.40%	
Best Year	54.68%	69.74%	31.22%	
Worst Year	-22.50%	-48.88%	-18.17%	
Maximum Drawdown	📄 -58.58%	📄 -77.00%	📄 -23.93%	
Sharpe Ratio	0.20	0.16	0.87	
Sortino Ratio	0.30	0.25	1.39	
Active Return	-10.30%	-12.36%	0.00%	
Tracking Error	22.64%	32.41%	0.00%	
Information Ratio	-0.46	-0.38	0.00	
Benchmark Correlation	Why Invest in China?			1.00

Content

- Part I: Current situation of China
- Part II: The sectors we think are worth investing in & Solutions
- Part III: Strategies for more conservative investors & Catalysts to watch

Current situation in China – GDP & Estimate

H1 2026 GDP growth was 4.7%.

- July retail sales rose only 0.6% year on year.
- Fixed-asset investment fell 6.7%.
- Growth is stable, but the mix is uneven.

Country/Region/World ▾ Contributor Contributor Composite ▾ ☒ Yearly ☐ Quarterly

 China

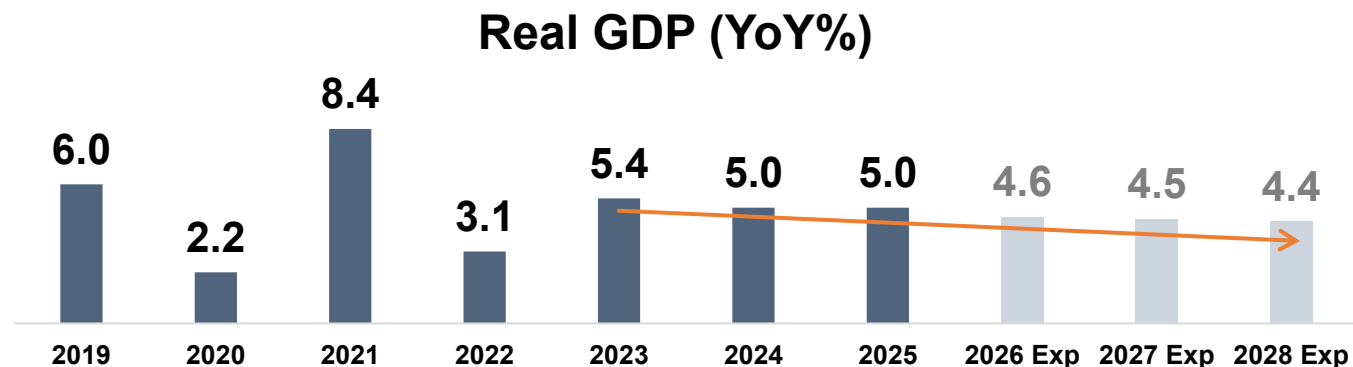
Browse

☒ Private ☐ Official

Actual / Forecasts

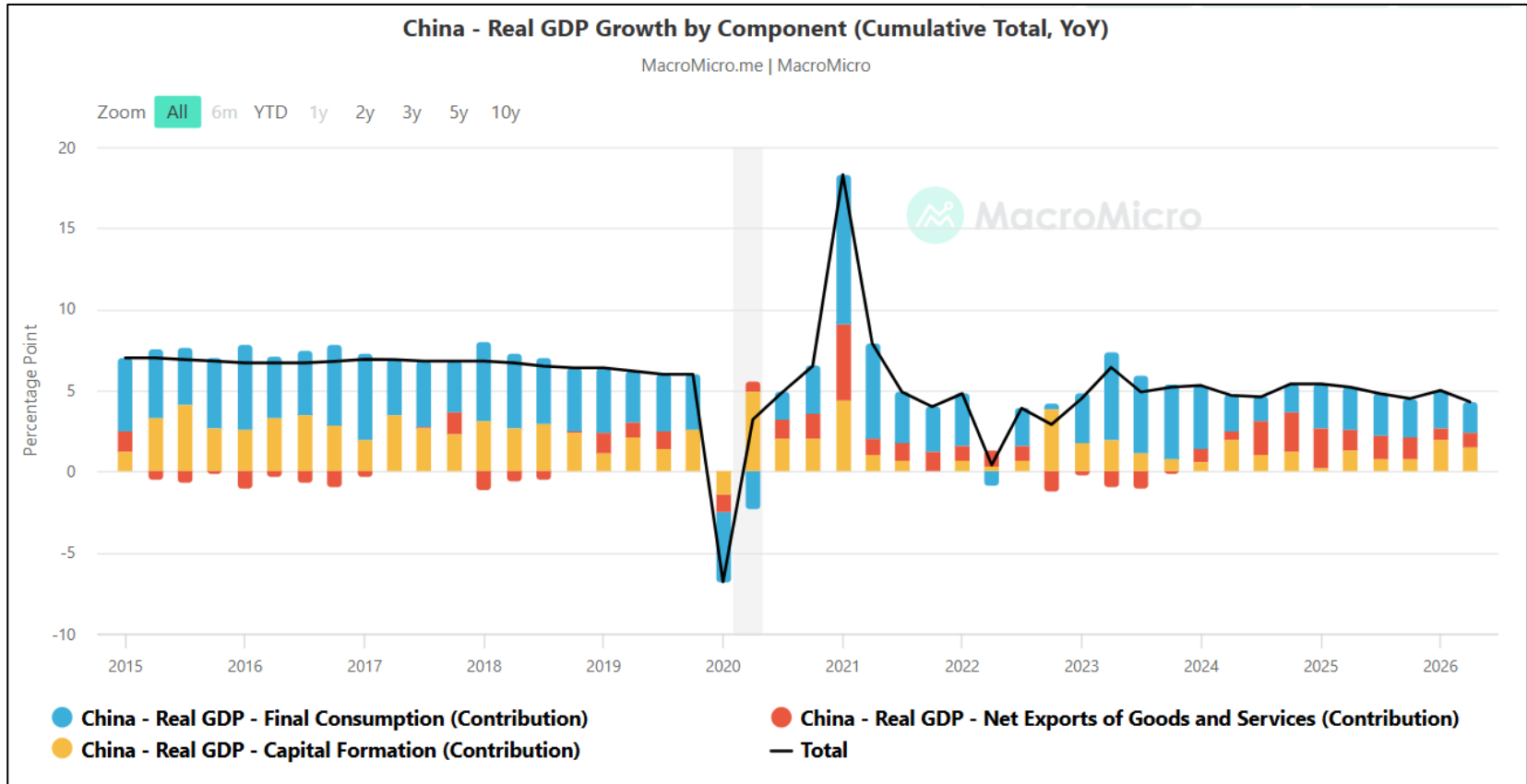
Probability of Recession 15.0%

Indicator	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028 ▴
Economic Activity										
Real GDP (YoY%)	6.0	2.2	8.4	3.1	5.4	5.0	5.0	4.6	4.5	4.4



Current situation in China - GDP Growth Analysis

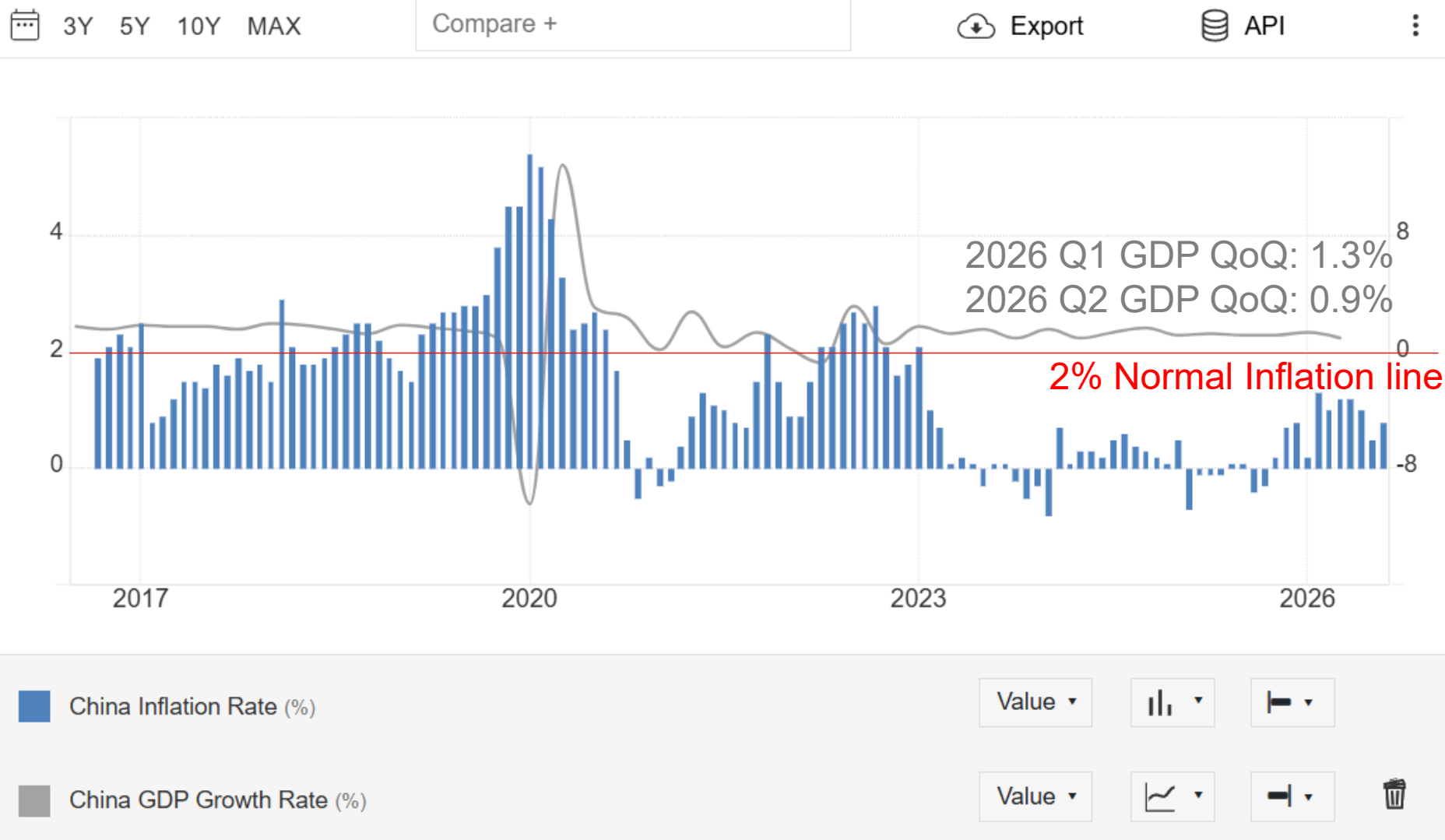
What's driving the GDP growth?



Manufacturing and exports are stronger than household demand.

- Property investment is still contracting.
- Policy support is targeted rather than aggressive.
- Earnings visibility varies sharply by sector.

Current situation in China – GDP & Inflation



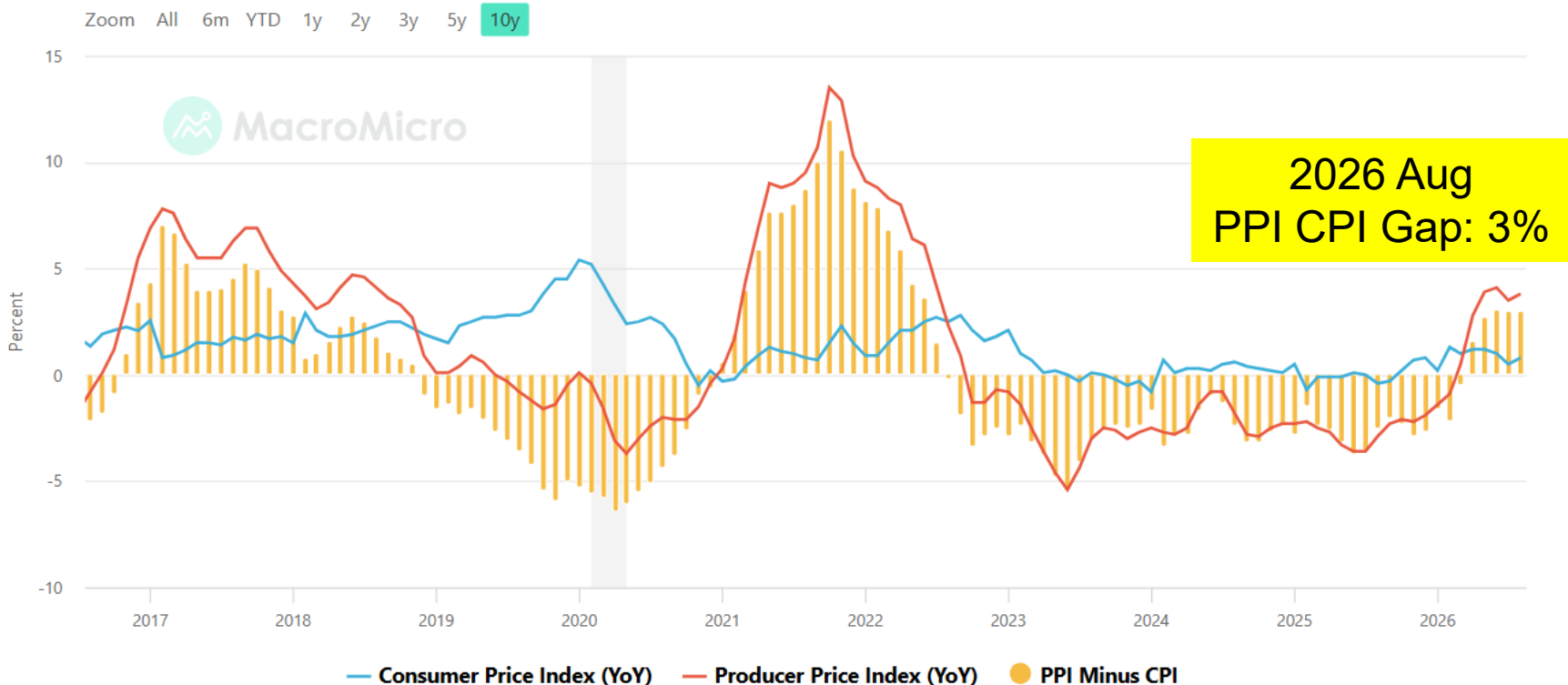
Current situation in China – Inflation and margins

August CPI rose 0.8%; PPI rose 3.8%.

- Energy explains much of the recent increase (+8.3% YoY)
- Core demand remains soft (Food & Housing)

China - CPI vs. PPI

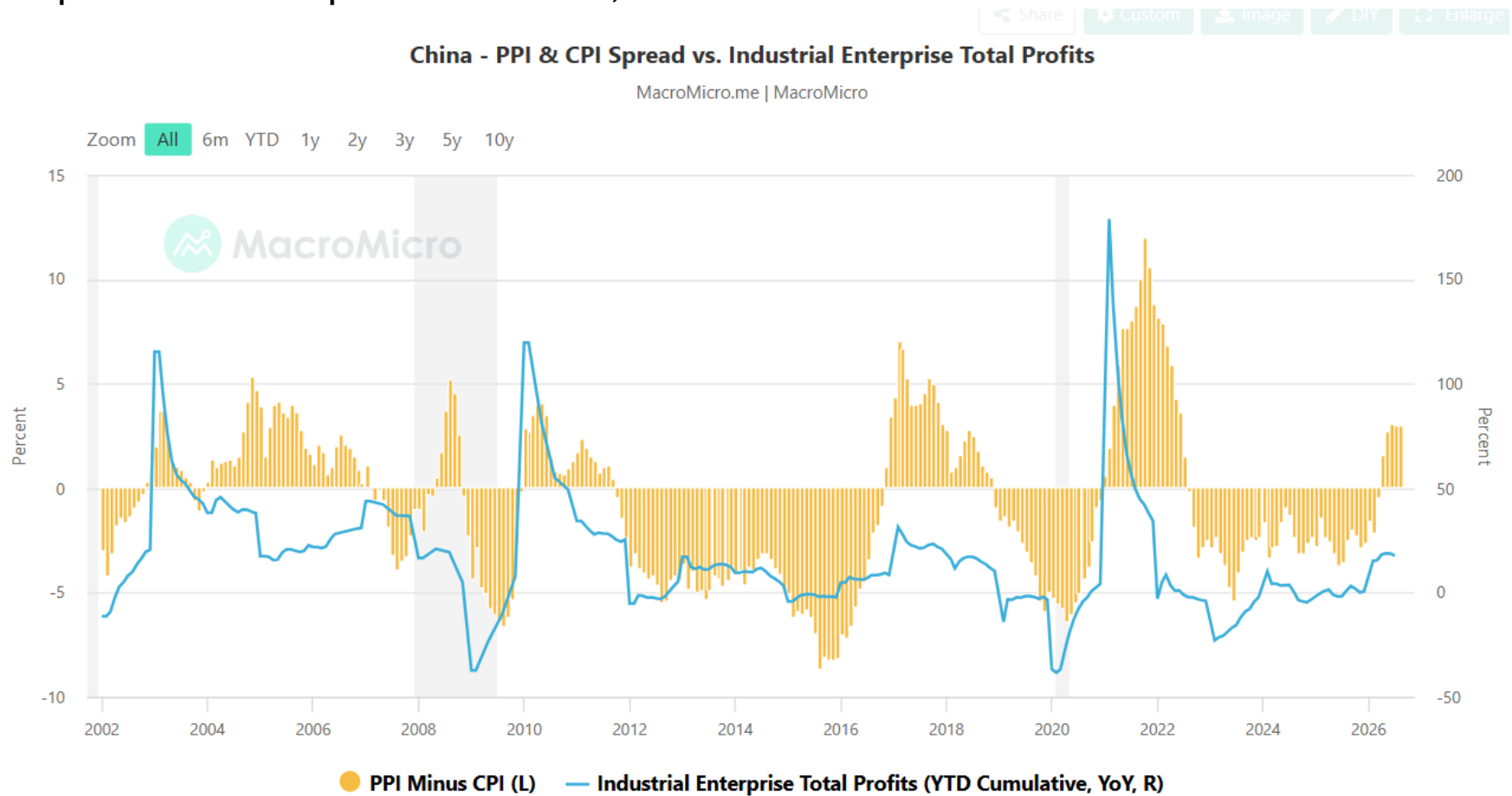
MacroMicro.me | MacroMicro



Source: <https://en.macromicro.me/collections/24/cn-price-relative/38939/china-cpi-vs-ppi>

What does PPI Minus CPI mean? Enterprise Profit

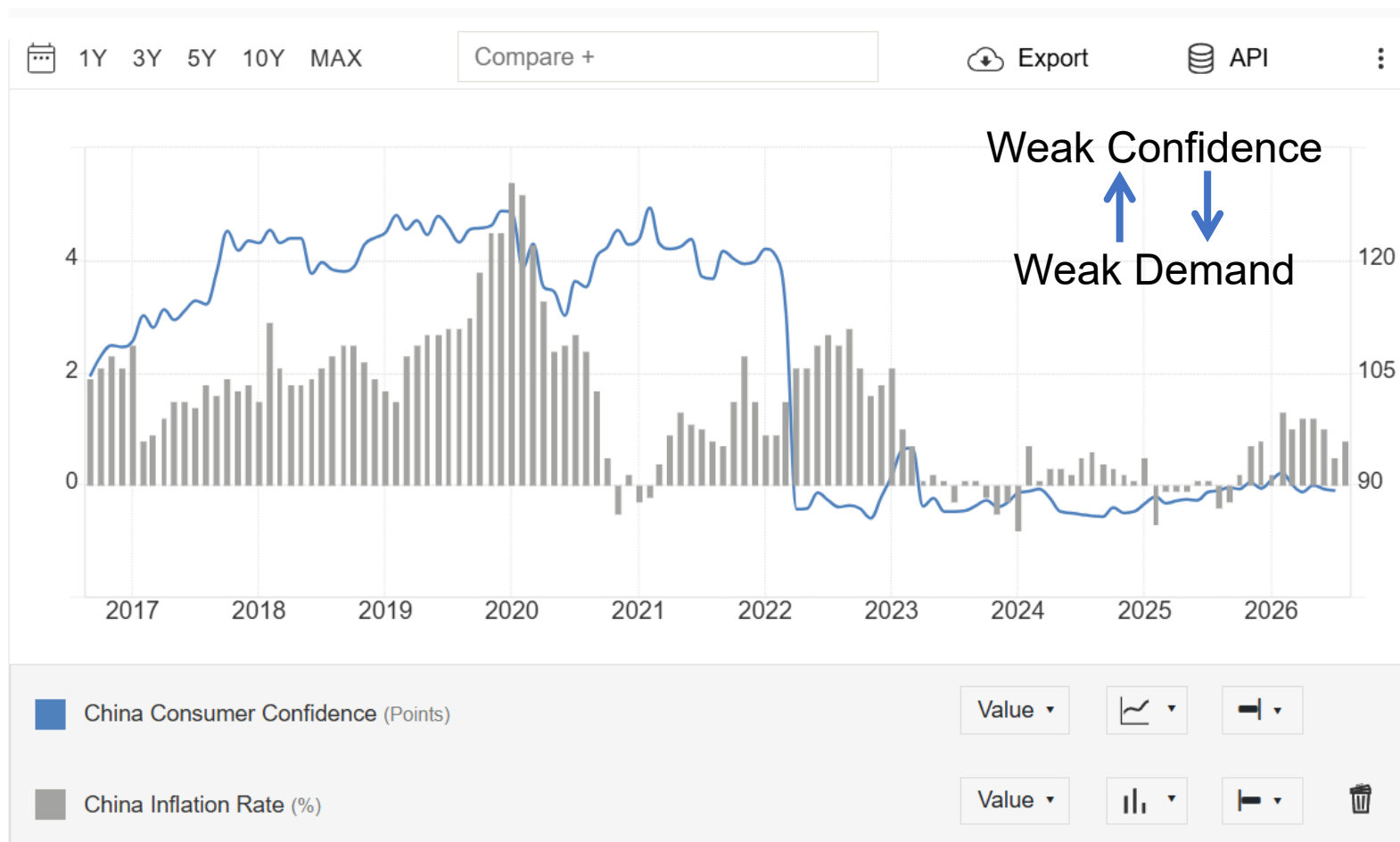
Expansion in the production side, weak in the demand side



Source: <https://en.macromicro.me/collections/24/cn-price-relative/13170/cn-ppi-cpi-industrial-enterprises-total-profits>

Current situation in China – Consumption Confidence

Consumption confidence has not yet reached Pre-Covid level



Source: <https://tradingeconomics.com/china/consumer-confidence>

Current situation in China – Inflation & Estimate

- Inflation expected to come back to 1.5 YoY in the long run (2028)
- Cyclical sectors could benefit if PPI turns positive and the recovery is confirmed by actual demand

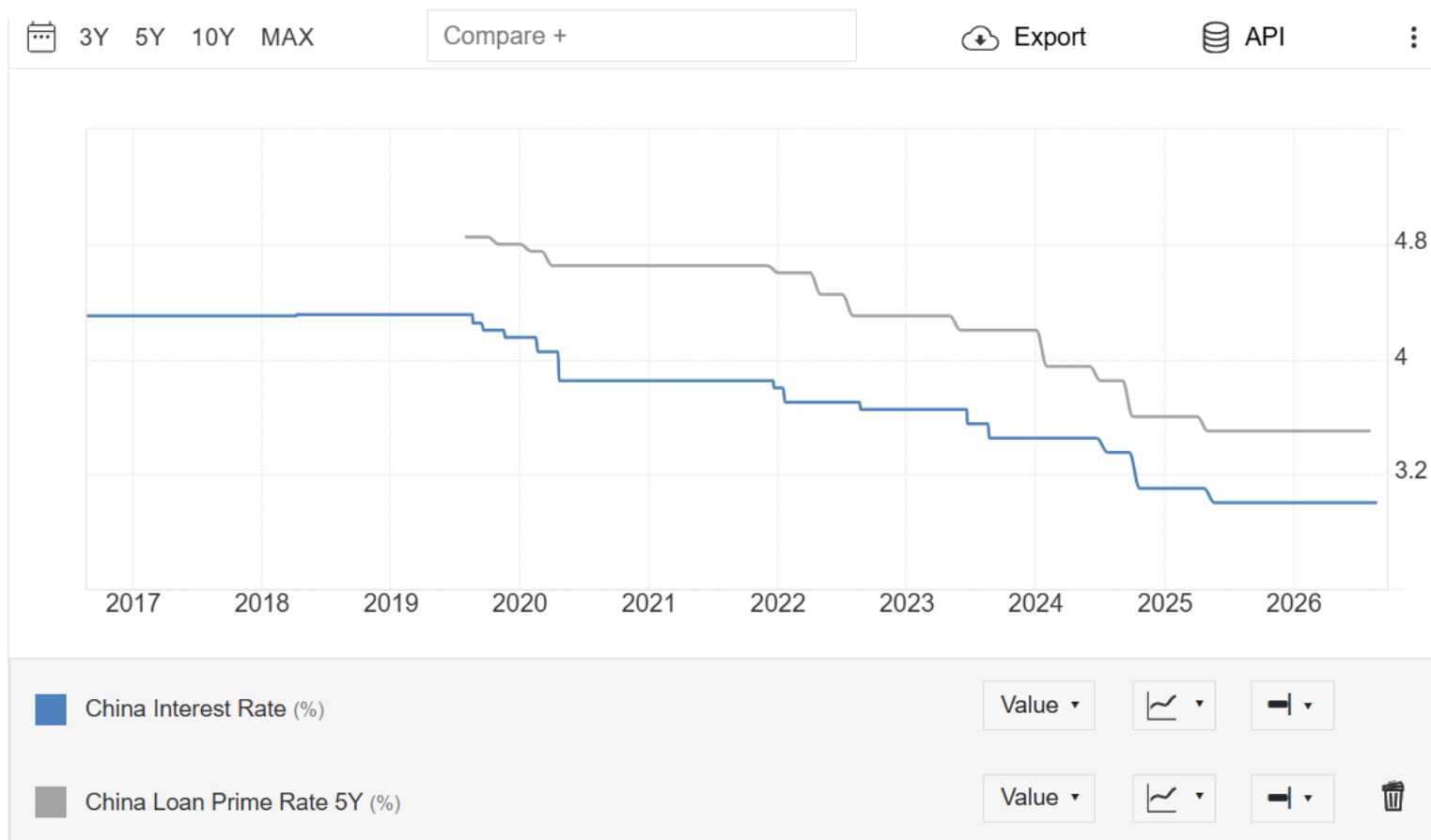
Country/Region/World		Contributor		Contributor Composite		☒ Yearly ☐ Quarterly				
	China	Browse		☒ Private ☐ Official						
		Actual / Forecasts				Probability of Recession		15.0%		
Indicator	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Price Indices										
CPI (YoY%)	2.9	2.5	0.9	2.0	0.2	0.2	0.1	1.0	1.1	1.5
PPI (YoY%)	-0.3	-1.8	8.1	4.2	-3.0	-2.2	-2.6	2.4	1.1	1.0

Source: Bloomberg Terminal; Code: ECFC, ECST; Data fetched Sep 10, 2026

Current situation in China – PBoC Monetary policy

1-year LPR: 3.00%; the 5-year LPR: 3.50%.

- Liquidity is supportive, but credit demand is weak.
- Rate cuts help valuation more than real activity.



Source: <https://tradingeconomics.com/china/loan-prime-rate-5y>

Current situation in China – PBoC Rates & Estimate

The policy stance is expected to remain accommodative, with a more likely gradual normalization rather than aggressive stimulus

Country/Region/World  Contributor Contributor Composite  ☒ Yearly ☐ Quarterly

 China  Browse ☒ Private ☐ Official

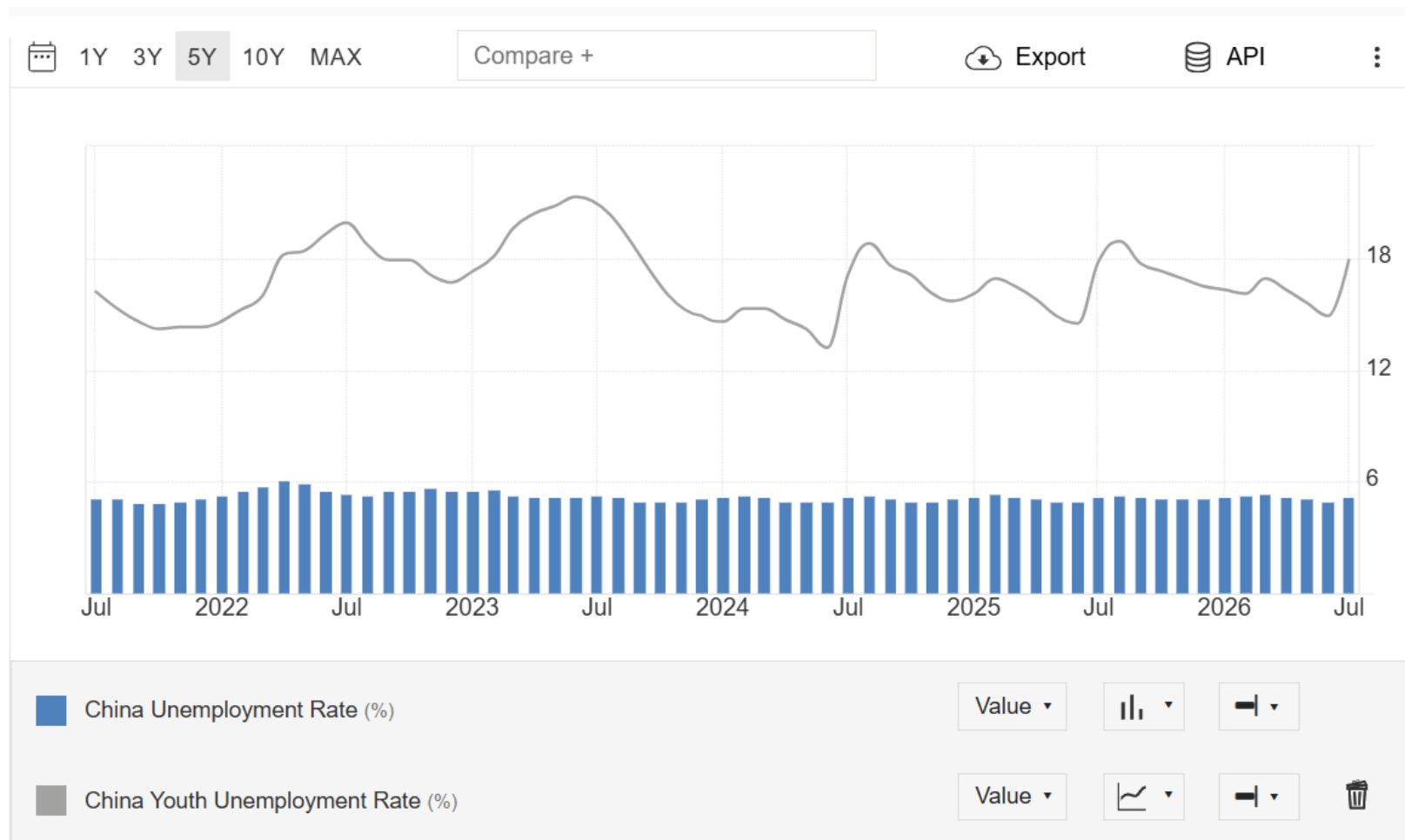
Actual / Forecasts Probability of Recession 15.0%

Indicator	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	
Interest Rates											
1-Year Best lending (%)	4.15	3.85	3.80	3.65	3.45	3.10	3.00	2.94	2.88	2.75	
3-Month Rate (%)	3.02	2.76	2.50	2.42	2.53	1.69	1.60	1.31	1.25	1.21	
2-Year Note (%)	2.63	2.71	2.36	2.34	2.20	1.10	1.37	1.26	1.22	1.07	
10-Year Note (%)	3.14	3.15	2.78	2.84	2.56	1.68	1.85	1.72	1.74	1.74	

Source: Bloomberg Terminal; Code: ECFC, ECST; Data fetched Sep 10, 2026

Current situation in China - Employment

- Youth unemployment reached 17.9% in July.



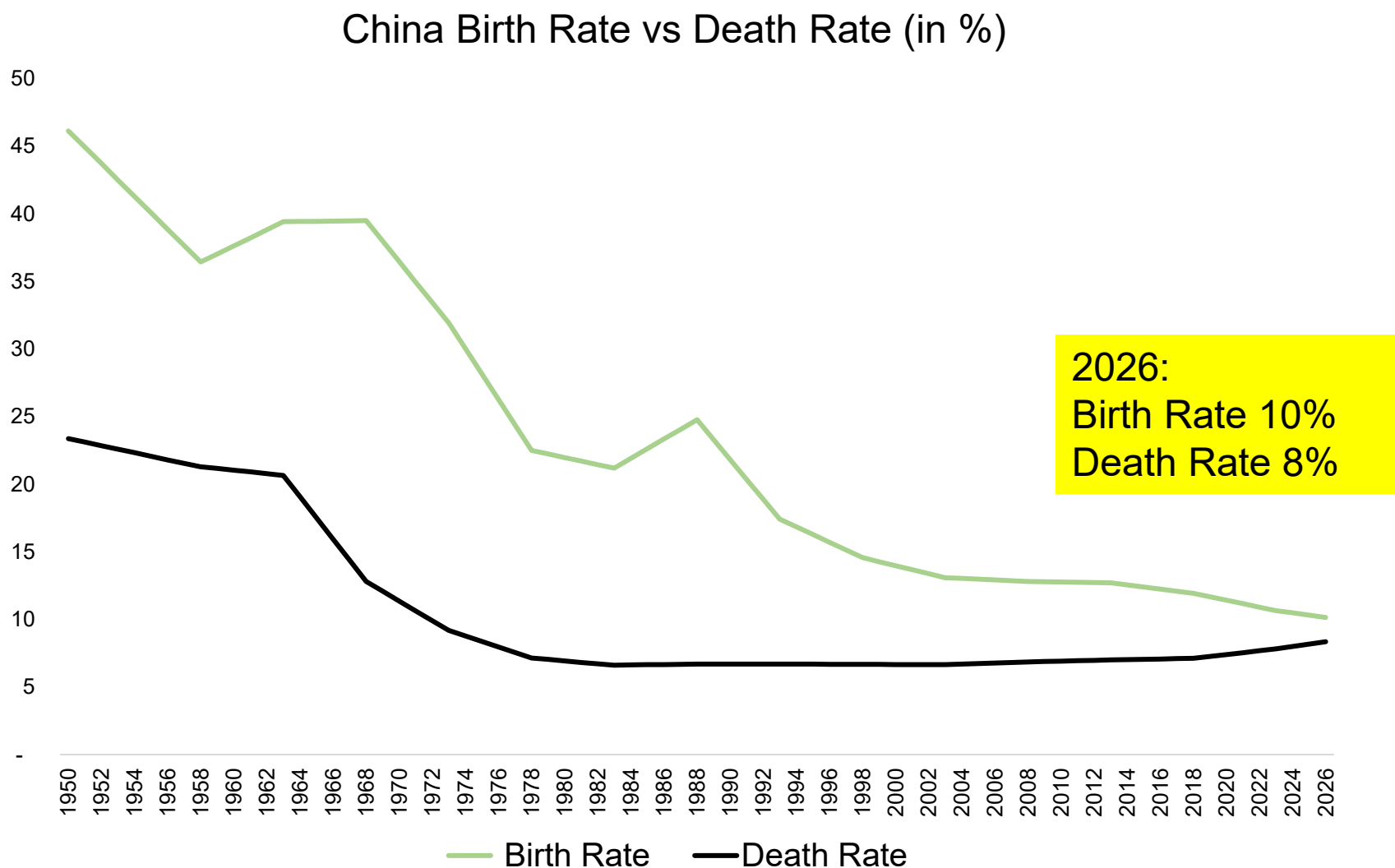
Source: <https://tradingeconomics.com/china/unemployment-rate>

Current situation in China - Property market remains

Property development investment fell 19.2% in January–July.
Property remains a drag on households, banks, and local governments.



Current situation in China - Demographics



Current situation in China – Demographics forecast

China ▼

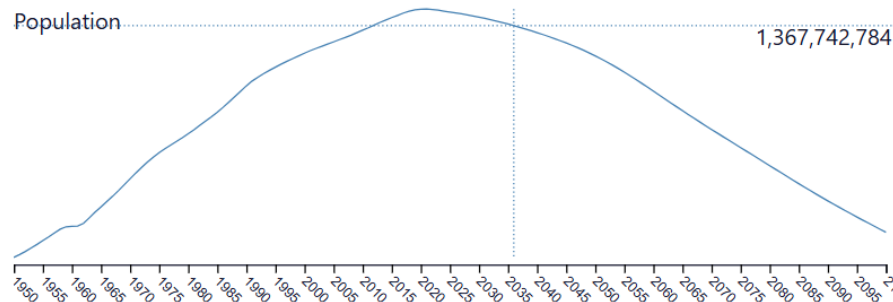
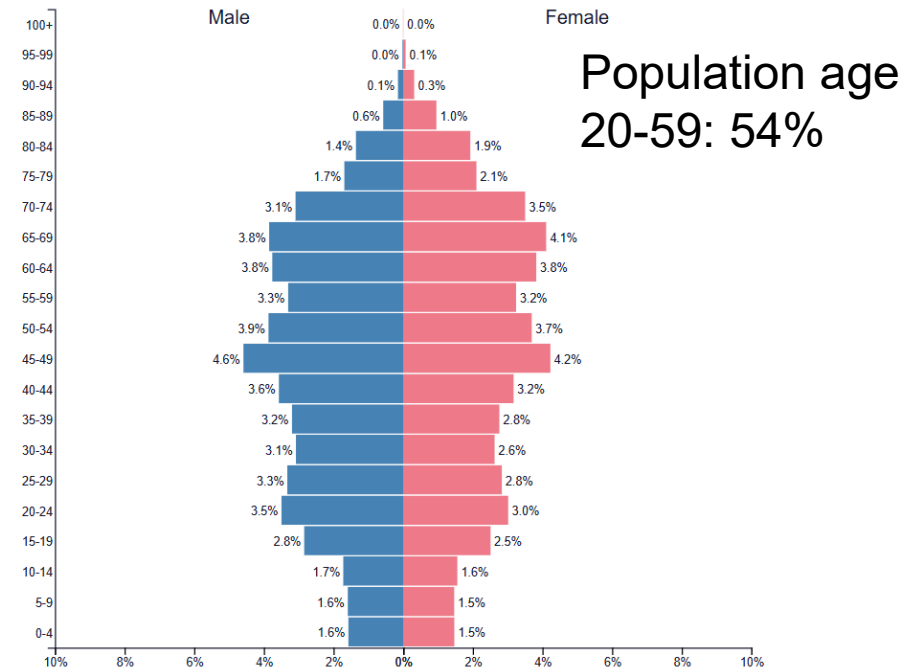
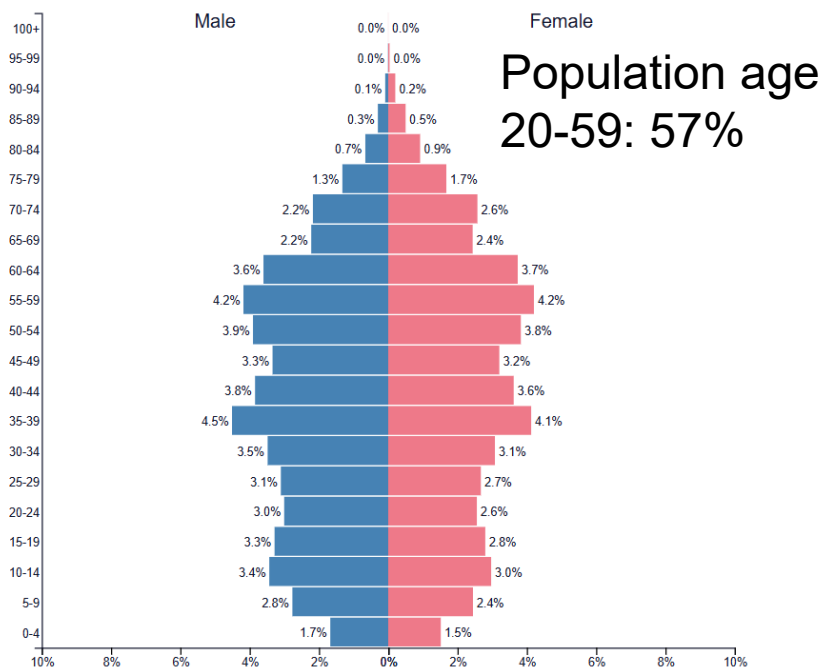
2026

Population: 1,412,914,088

China ▼

2036

Population: 1,367,742,784



Source:

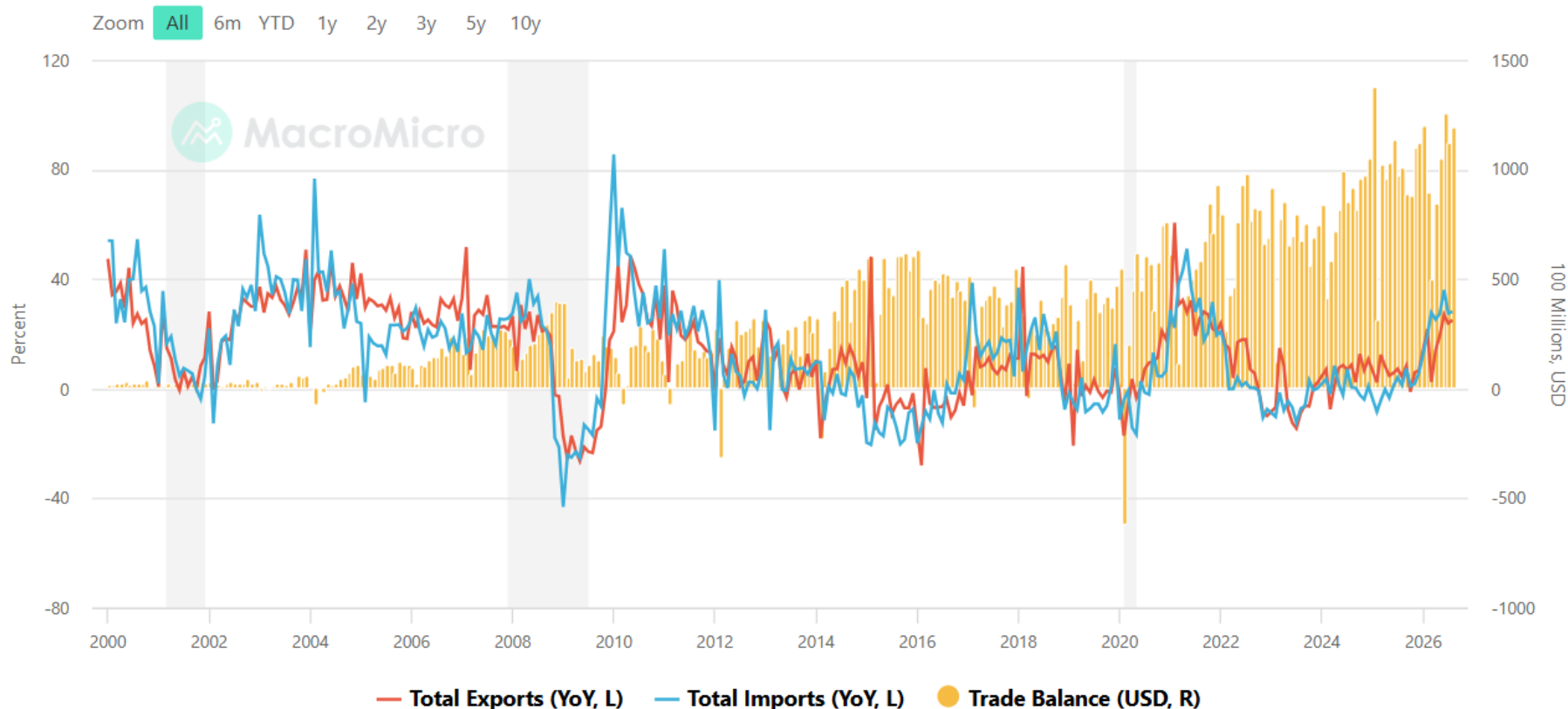
[1] <https://www.populationpyramid.net/china/2036>[2] <https://www.populationpyramid.net/china/2026>

Current situation in China – Export & Import

Exports still play an important part in China's economy

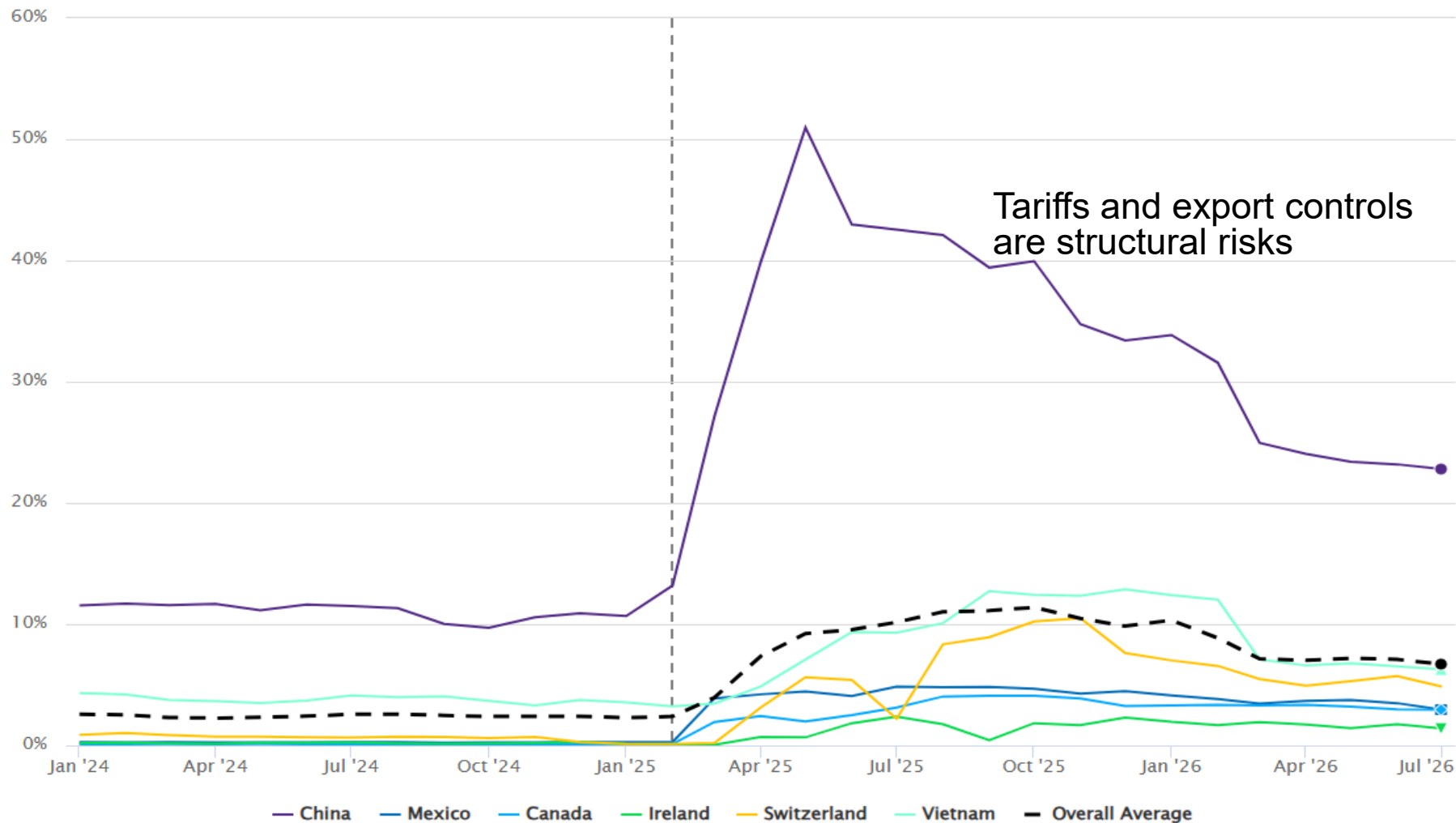
China - Imports/Exports vs. Trade Balance

MacroMicro.me | MacroMicro



Current situation in China – Geopolitics

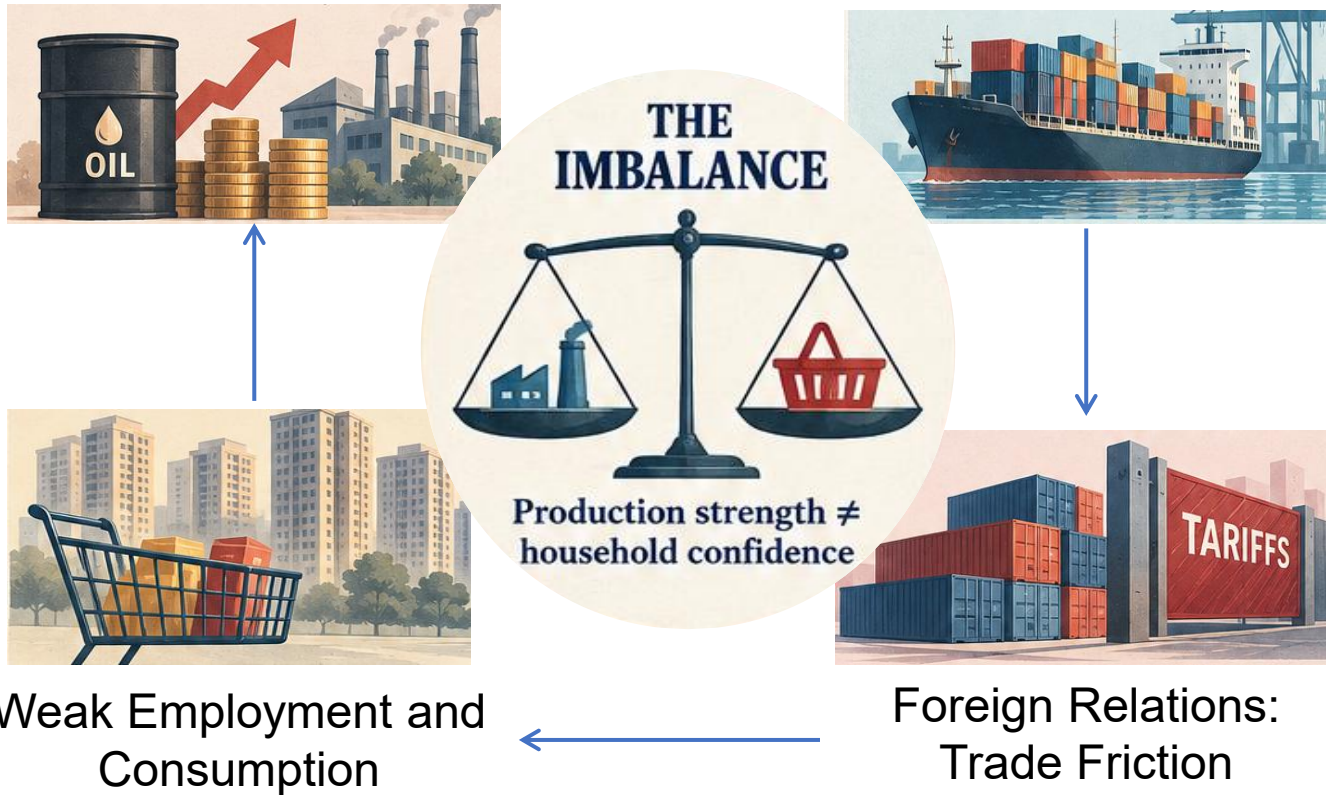
Figure 2: Effective Tariff Rates on Key Trading Partners and Product Categories



Source: <https://budgetmodel.wharton.upenn.edu/p/2026-09-09-effective-tariff-rates-and-revenues-updated-september-9-2026/>

Dilemma for China

Cost Squeezed Inflation —————> Exports: Growth Engine



Is now the right time?

Yes, for selective exposure

What makes a good China investment

01

Demand Support

Clear policy tailwind
or structural demand

02

Competitive Edge

Pricing power, cost
leadership or both

03

Valuation Discipline

Reasonable entry price
for the earnings risk

HOW THE ECONOMICS WORK

Demand tailwind can become durable economics

1

**Demand
tailwind**

2

**Capital
response**

3

Consolidation

4

**Better
economics**

Sector priorities

Advanced manufacturing

Cost leadership

AI models

Technology
sovereignty

Investing in China – Why Advanced Manufacturing?

Long-term productivity investment

01

Automation demand

Precision equipment lifts productivity.

02

Export leverage

Scale supports global share gains.

03

Policy support

Industrial upgrading supports capex.

Key risks Tariffs, price competition, and excess capacity can delay margin recovery.

Advanced manufacturing Solution –

Global X China Robotics and AI ETF (2807.HK; USD counter 9807.HK)

01 <u>Thematic growth</u> Access robotics and AI companies across China.	02 <u>Unconstrained basket</u> Diversified automation and robotics exposure.	03 <u>One-trade efficiency</u> A single trade provides broad thematic exposure.
--	--	---

Sub-sector focus

Industrial automation, robotics and embodied AI

Moat and catalyst

Equipment renewal plus AI in manufacturing

Key risks

Concentration, high beta and commercialization timing

Valuation & Expense ratio: approximately 31.6x P/E and 0.68% ongoing charge

Source: <https://www.globalxetfs.com.hk/funds/global-x-china-robotics-ai-etf/>

Advanced manufacturing – NAURA Technology (2371.SZ)

Semiconductor equipment platform with domestic-substitution optionality

Why NAURA:

Broad wafer-fab equipment platform

Domestic-substitution moat with qualification barriers

Policy-backed capex; H1 revenue +24.9%



Risks:

Approximately 61.8x 2026E P/E leaves little room for misses

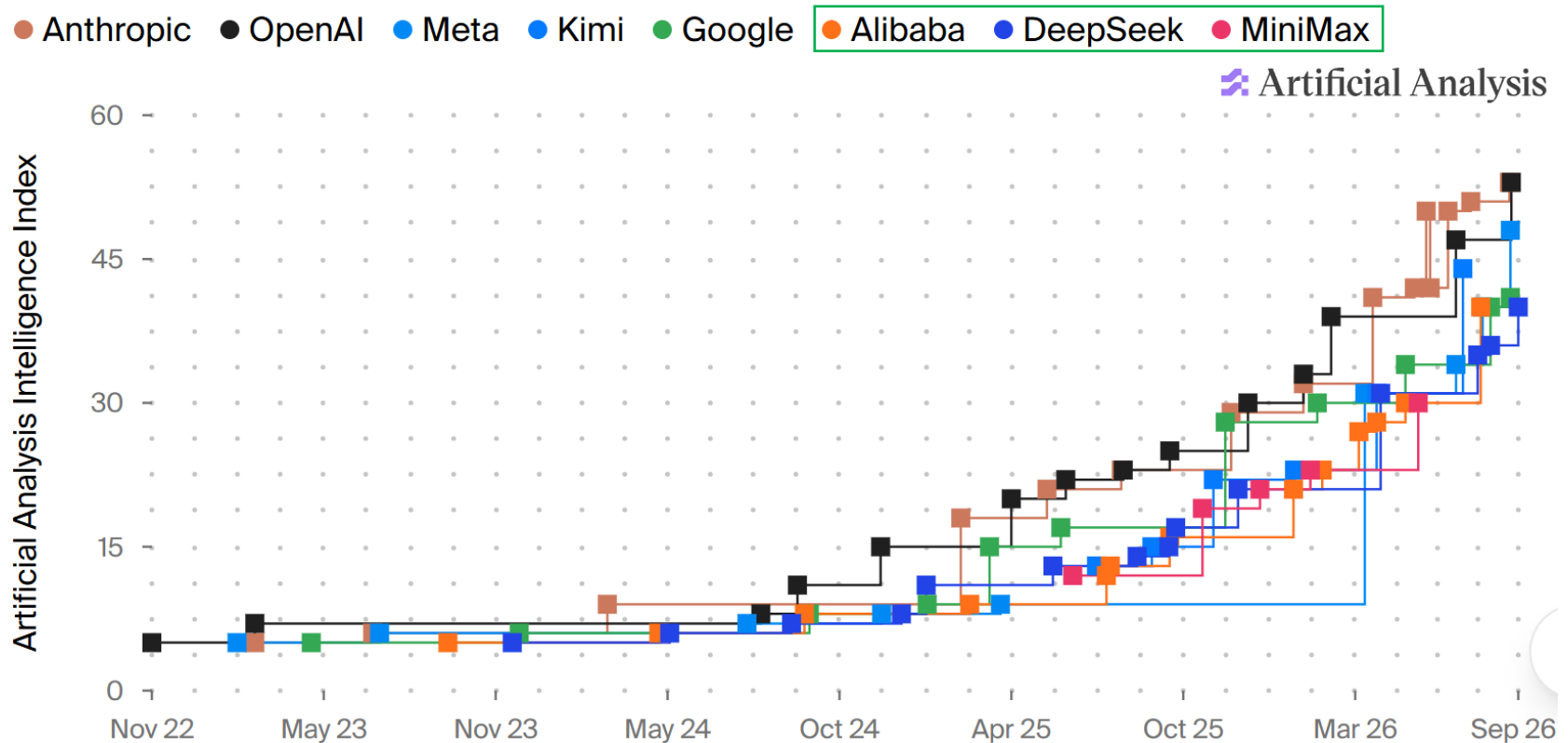
Margin pressure and customer fab-capex cycles

Advanced-node execution plus geopolitical and export-control risk

Implication: Strategic quality is compelling, but valuation demands continued execution.

Why China's AI Models?

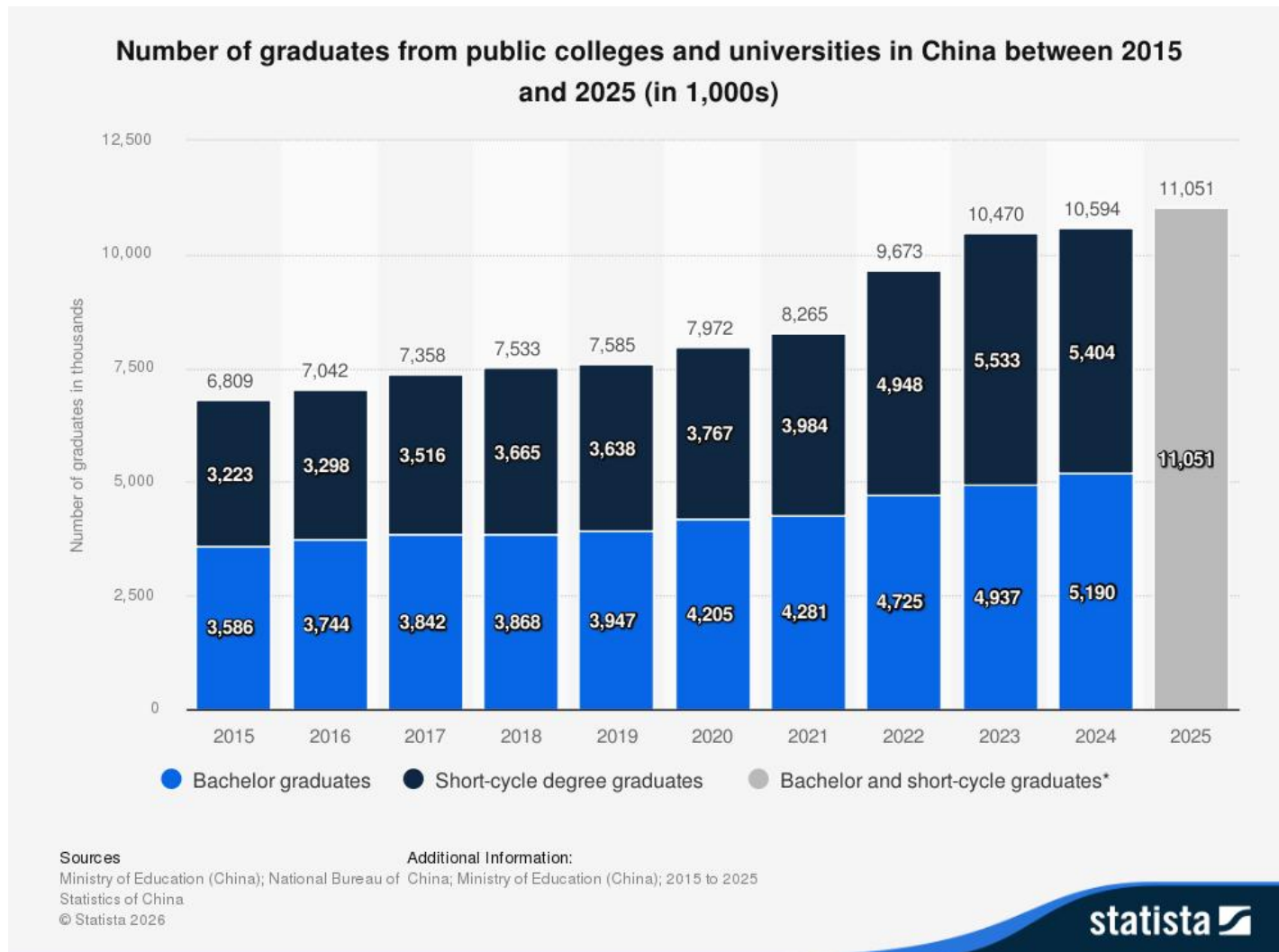
Reason 1: Similar performance but more affordable



Source: <https://artificialanalysis.ai/trends?model-creators=anthropic%2Copenai%2Cmeta%2Ckimi%2Cgoogle%2Calibaba%2Cdeepseek%2Cminimax>

Why China's AI Models?

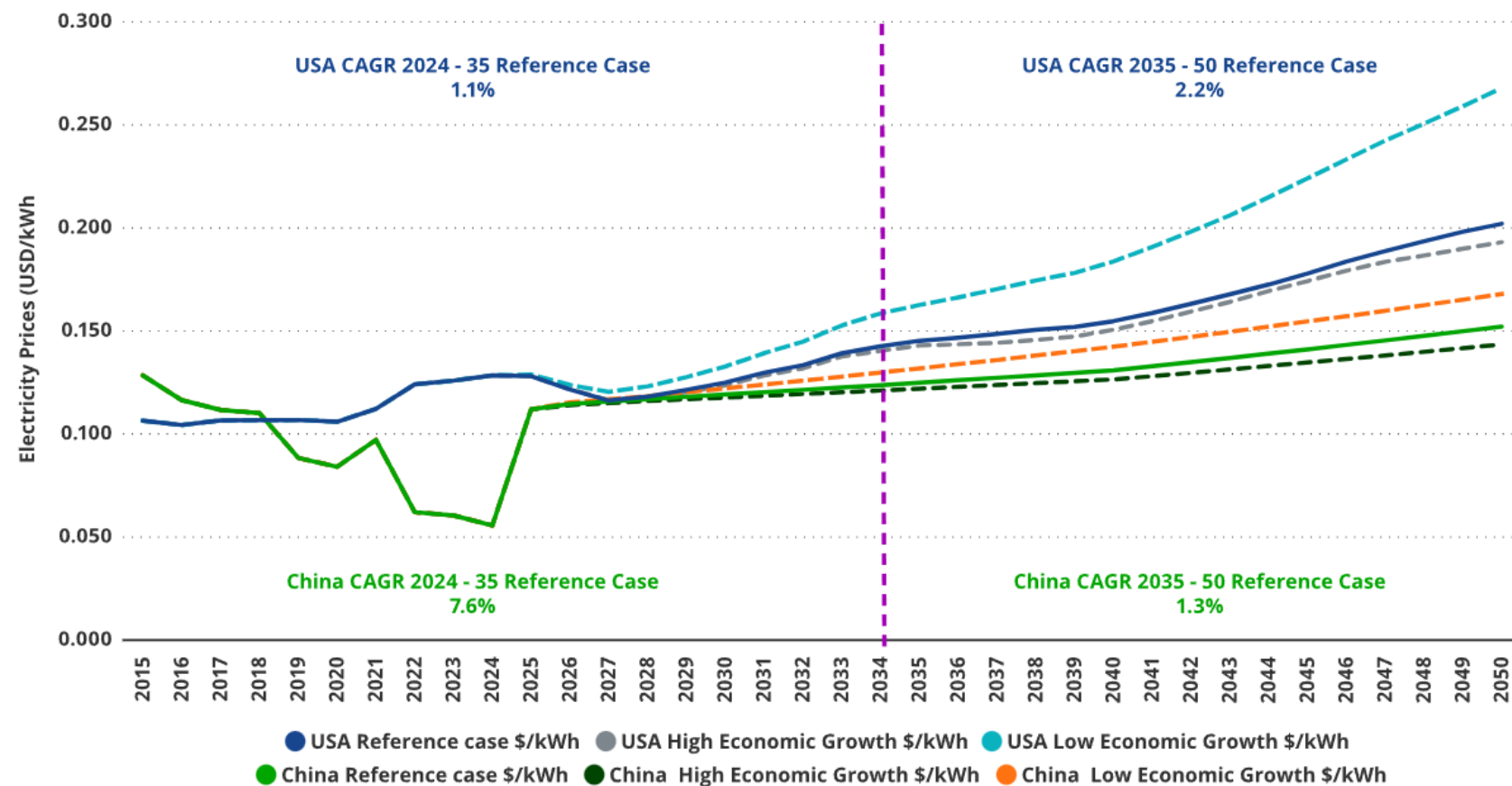
Reason 2: Manpower advantage



Why China's AI Models?

Reason 3: Cheaper electricity

Commercial



Source: <https://www.vaneck.com/us/en/blogs/natural-resources/the-power-divide-china-us-and-the-future-of-the-grid/>

Why China’s AI Models?

Reason 4: Government support for Industry, R&D, and Protectionism

Policy name	Date	Impact
AI + Manufacturing Special Action Implementation Opinions	Dec. 25, 2025	Accelerates industrial AI model deployment, vertical models, and AI agents across manufacturing sectors. (MIIT)
Opinions on Deepening the “Artificial Intelligence Plus” Initiative	Aug. 21, 2025	Top-level policy promoting large-scale AI adoption across industries, supporting foundation models, AI agents, and commercialization. (State Council of China)
Measures for Labeling AI-Generated and Synthetic Content	Mar. 7, 2025	Requires labeling and traceability of AI-generated content, increasing compliance requirements for model providers. (China Anti-Corruption Agency)
Implementation Rules for Authorized Operation of Public Data Resources	Jan. 8, 2025	Expands regulated access to public-sector data, improving potential data availability for AI model development. (National Defense Administration)
Implementation Opinions on Promoting High-Quality Development of the Data Labeling Industry	Dec. 2024	Supports high-quality training datasets, multimodal labeling, and data infrastructure for AI model training. (NDRC)
Regulations on Network Data Security Management	Sep. 24, 2024	Strengthens security requirements for generative AI training data and data-processing activities. (Government App)

Source:

[1] https://www.miit.gov.cn/jgsj/kjs/wjfb/art/2026/art_5ea5b1663f264fcea69df0ab00d1f6f3.html
[2] http://big5.www.gov.cn/gate/big5/www.gov.cn/zhengce/content/202508/content_7037861.htm
[3] https://www.cac.gov.cn/2025-03/14/c_1743654684782215.htm

AI models solution

Themes China Generative Artificial Intelligence ETF (DRGN)

01 <u>Full-stack AI</u> Models, cloud and chips	02 <u>Layered exposure</u> Diversifies AI layers	03 <u>US-listed access</u> USD access to China AI
--	---	--

<u>What it owns</u> Models and chips		<u>Key risks</u> Thin liquidity
Hardware 39% Portfolio P/E: $\approx 31-32\times$	Software 31.5% Expense ratio: 0.39%	Media 19.4%

AI models solution

Phancy Group Co., Ltd. (6682.HK)

Why Phancy

- Compute, models and APIs on one platform.
- H1 revenue +43.4% to RMB 3.77bn.
- API / MaaS +861%; tokens +620%.

Key risks

- Operating cash outflow: RMB 2.36bn.
- Heavy R&D and compute capex.
- Dilution and API price competition.

KEY DATA

Ticker: 6682.HK

43.4%
H1 growth

861%
API / MaaS

1.6–1.7×
Trailing sales

P/E >100×

Conservative option: Wait and See

Catalysts in the near term

Short term: President Xi's visit to the US, date to be confirmed

Long Term:

Stimulative Monetary & Fiscal Policy



Pro-growth Regulatory Environment



Real Estate Market Stabilization



Recovery in Domestic Consumption



Improving Economic Indicators



Advancements in Key Growth Sectors



Will China follow Japan's path?

Japan is a warning

Japan's lost decades

- 1 Asset bubble**
Land and equity prices
left fundamentals
- 2 Balance-sheet repair**
Debt overhang hit banks and
companies
- 3 Stagnation**
Deflation and aging
weakened demand

Repair ended in weak growth.

China's current path

- 1 Growth model**
Investment and exports
remain central
- 2 Adjustment**
Property and leverage are
the near-term risks
- 3 Demographics**
Aging adds a long-run drag
on demand

Policy response shapes the path.

TAKEAWAY

Outcomes hinge on productivity, domestic demand and policy execution.

China vs Japan: where the paths diverge

Similar pressures, different adjustment mechanisms

Dimension	Japan	China
Growth model	Investment and exports	Investment, exports and large domestic market
Property / debt	Bubble burst and long deleveraging	Property adjustment and debt pressure
Population	Aging population and shrinking workforce	Aging population with urbanization runway
Policy	Different institutional policy setting	State control over capital and banks
Technology	Mature industrial base	Digital and green energy technology optionality

Bottom line: similar pressures can produce different market paths.

Investment implication

Japan-like risks, but no predetermined outcome

What could repeat

- Property excess
- Debt overhang
- Weak nominal growth

What could differ

- State-led restructuring
- Larger domestic market
- Technology upgrading

What to monitor

- Household demand
- Property stabilization
- Credit discipline
- Productivity gains

Five-year scenarios



Bull Case (20%)

- **4.5–5.0%** real GDP CAGR.
- Meaningful rebalancing of the economy; domestic consumption grows beyond expectations
- Property prices and sales stabilize significantly by 2028.
- AI-driven productivity, robotics, and automation effectively counteract population aging.



Base Case (55%)

- **3.7–4.1%** real GDP CAGR.
- China slows structurally without a conventional collapse, navigating a "two-speed" economy.
- Property shrinks, but the drag gradually diminishes over time.
- Manufacturing and technology become a new growth engine



Bear Case (25%)

- **2.0–3.0%** real GDP CAGR.
- Property, debt, deflation, and trade restrictions overwhelm technological productivity gains.
- Issue in property weakens household consumption and local-government finances.
- External restrictions limit export

Optional Portfolio Strategy –

Long sectors mentioned & Short Overall Index

LONG: Advanced Tech & AI

-  **Key Sectors** Semiconductor equipment, AI models, high-end automation, and robotics.
-  **Strategic Rationale** Backed by robust policy support for tech sovereignty, industrial upgrading, and structural demand growth.
-  **Focus Areas** High-ROIC market leaders with substantial switching costs and qualification barriers (e.g., NAURA, Phancy).

SHORT: Broad Macro Index

- Avoid areas highly dependent on historical GDP drivers and facing structural headwinds.
-  **Key Sectors** Overall China Index (e.g., MSCI China), traditional property development, and low-value manufacturing.
 -  **Strategic Rationale** Persistent drag from property contraction, demographic decline, and weakened household confidence.

Conclusion

A Slower, Tech-Intensive Economy

China is shifting away from historical 6% GDP growth toward a 3.5–4% "two-speed" model. Success does not require an economic miracle, but rather highly selective exposure.

Manufacturing is Key Conviction

Advanced manufacturing offers the strongest structural upside. The critical variable is picking winners capable of retaining ROIC as the industry scales.

AI Offers Growth, But High Risk

AI model usage will grow exponentially, but standalone companies face commoditization risks. Investors must own different layers of the ecosystem.

Key Metrics to Monitor

Monitor incremental ROIC for tech companies, and watch for property stabilization and household demand recovery to gauge broad macro health.